

ACTIVITY REPORT

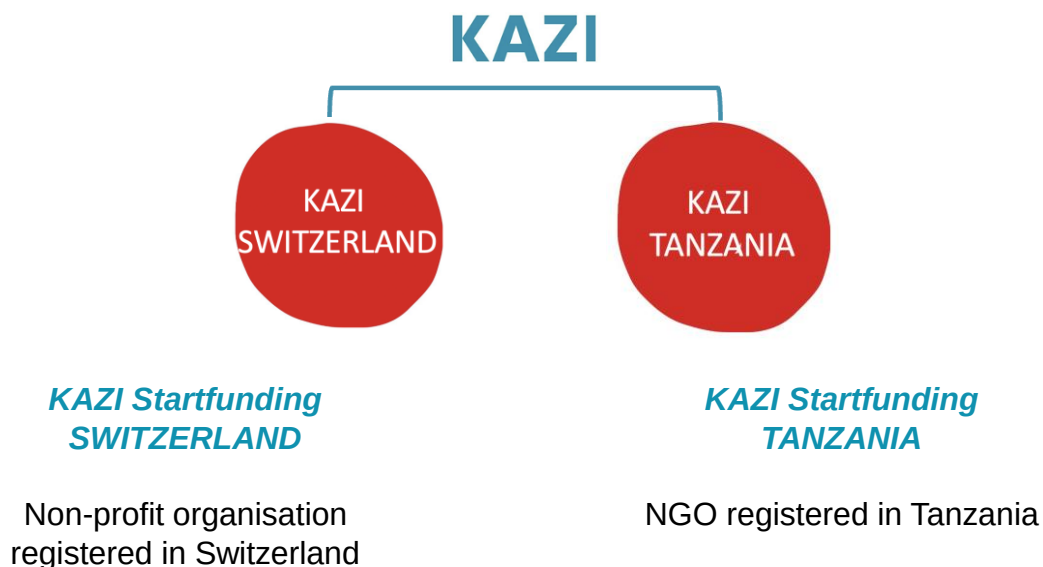
2019 – 2021



Kazi Startfunding
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I. IN BRIEF

KAZI Startfunding is a non-profit organisation, consisting of two legally separate entities that have worked closely together since 2019, based in Switzerland and Tanzania respectively.



MISSION

Our mission is to support local entrepreneurs in order to promote the development of projects that respect the Sustainable Development Goals in low- and middle-income countries.

HOW?

Access to starting capital is a major barrier to launching projects in low- and middle-income countries. KAZI Startfunding therefore offers **interest-free loans** to provide the initial capital needed by entrepreneurs to launch their project or business in Tanzania. The loans are **indexed in Tanzanian currency** (the shilling, abbreviated TSH), so that exchange rate fluctuations are covered by the organisation.

Within the goals of sustainable development, the **entrepreneurs are autonomous** in the creation and execution of their projects. KAZI Startfunding does, however, offer consulting to accompany and support the development of their business if the beneficiaries so wish. This support is provided by members of the organisation, wherever possible from the country where the project is located, allowing for a sharing of experience and knowledge, in particular on administrative and financial questions. Translated with www.DeepL.com/Translator (free version)

II. OUR GOALS, VALUES, AND METHODS

Inspired by the Swahili word for "job," "work," or "opportunity," KAZI Startfunding's mission is to create financially self-sufficient employment opportunities with a focus on local empowerment. **We seek to reduce the economic disparity between low- and high-income countries by creating concrete, sustainable and transparent opportunities for economic and social development that are environmentally friendly.**

FINANCING

We want to maintain a **vision of emancipation from a paternalistic western mindset**, where projects are developed and implemented by local people. We believe **interest-free loans indexed in local currency** are a good alternative to conventional credit institutions or donations. The costs of currency devaluation fall thus on the organisation and not the local entrepreneurs.

Our reasons for choosing this method of financing are:

- To **avoid the need for large amounts of equity or collateral**, the initial capital of which is often required by conventional lending institutions and remains a major barrier to local entrepreneurship;
- To **avoid requiring very high profits** from the businesses for them to be able to repay the interest, which is often offered at high rates even by micro-credit institutions;
- To avoid an increase in the real value of the repayment due to exchange rate fluctuations (by indexing the loan in local currency);
- To **implement true community empowerment perspectives** by involving and enabling local entrepreneurs more through the attribution of loans rather than donations, which imply a one-sided dichotomy of power between the parties;
- To allow for loan repayments to be allocated for investing in new projects and in the long term thus build up working capital for future projects, with multiple uses of the organisation's funds.

We seek to enable the launch of projects and businesses that otherwise might not have been considered by conventional financing institutions (banks, micro-credit institutions, etc.) for the aforementioned reasons.

CONSULTING

We want to allow the projects to be **accompanied by experienced individuals**, ideally **from the country where KAZI Startfunding is active**. This is especially important in rural areas where the level of education and entrepreneurial knowledge tends to be more limited, or for recent graduates who have less professional experience.

For the time being, the KAZI team in Tanzania has reviewed several projects in financial matters (especially profitability) before their launch. In the short term, we would like to intensify this financial and administrative support by engaging with local mentors and coaches and through the implementation of educational workshops.

III. THE STORY BEHIND KAZI STARTFUNDING

In 2019, KAZI Startfunding was [founded in Switzerland](#). The association came to be as the result of collaboration between a group of friends with [various academic and professional backgrounds](#) (economics, medicine, law, business management, international relations) and partners in Cameroon with economics and medical backgrounds whom Paul-Camille Genton met during an internship in a Cameroonian hospital.

This [diversity in professional, ethnic, and cultural backgrounds](#) made it possible to provide a more global vision of the reality of economic development in a low-income country, while taking the unique aspects of life in both Cameroonian and Tanzanian into account. For organisational reasons, it was decided not to establish KAZI in Cameroon. However, the collaboration with partners in Cameroon has been decisive in forming the DNA of the organisation, in particular to favour local empowerment in project creation and leadership.

At the end of 2019, Paul-Camille Genton, then president of KAZI Startfunding, which later became the Swiss branch of the organisation, worked at the [Ifakara Health Institute in Tanzania](#) as part of a collaboration with the Swiss Tropical Institute. During his stay, he came into contact with many people at the hospital and the adjacent research centre (Ifakara Health Institute). Some expressed their desire and interest in developing and sustaining this project in Tanzania, and so the steering committee of the Tanzanian branch of KAZI was formed. It was therefore the combination of this particular group of individuals with shared interests and motivation coming together at the right place at the right time that led to KAZI being set up in Tanzania specifically.



The [pilot phase started at the beginning of 2020](#), when interest-free loans were granted to five projects proposed by the Tanzanian KAZI team. These initial projects were financially supported by KAZI Startfunding SWITZERLAND through the committee members' own private donations to the organisation.

At the same time, a ["Memorandum of Understanding" was signed with KV-HELP](#) (Kilombero Valley Health and Livelihood Promotion), a Tanzanian NGO that has been working for several years in the economic development of the rural regions of the Kilombero Valley. This partnership allowed for the support of five additional projects with KV-HELP taking charge to monitor the projects on site.

At the end of 2020, **the first projects started their repayment phase**: three funded projects were fully repaid on time, allowing the entrepreneurs to launch their business as planned; two further projects met with similarly successful after a prolonged repayment plan was granted. Regarding the projects monitored by our colleagues at **KV-HELP**, four of the five projects were completed as planned (with a request for an extended repayment period), while the final one failed financially.

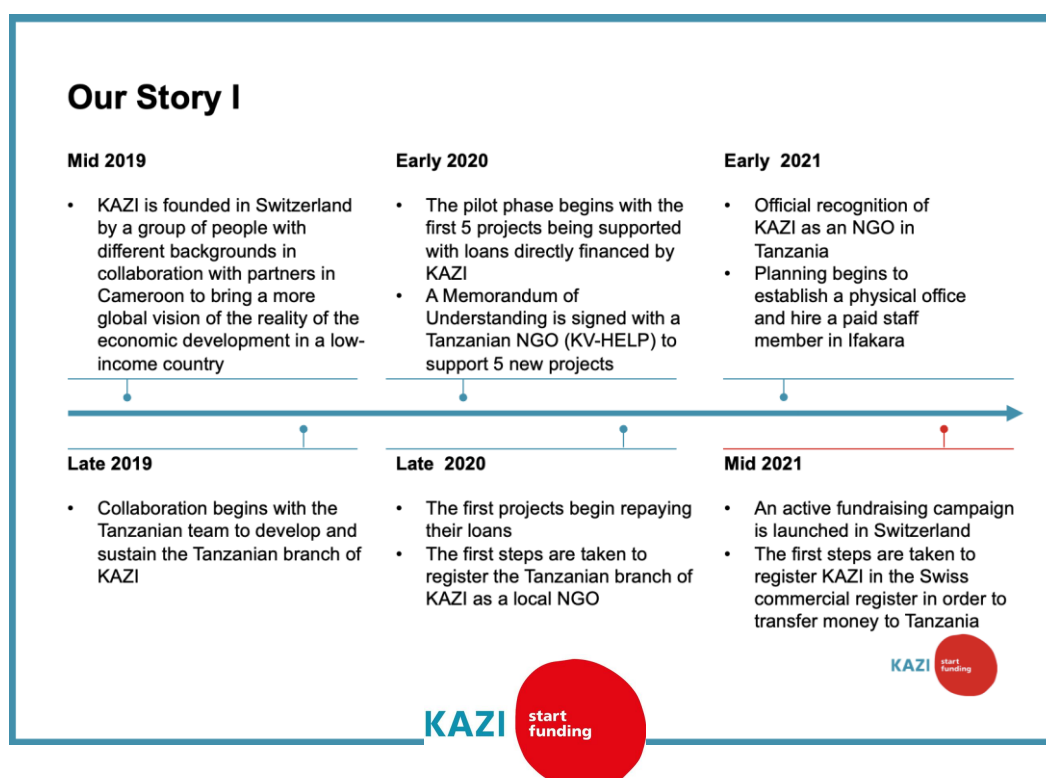
In interviews with the entrepreneurs, they indicated that the **initial funding helped them immensely and allowed them to become self-sufficient**, which they remain at present. The objectives of contributing to economic, social and sustainable development, which are at the core of KAZI, appear to have been met. At the same time, steps were being taken to register the Tanzanian branch of the organisation as an NGO in Tanzania. The association is officially recognised as an NGO in early 2021.

In 2021, the **position of the first paid employee in Tanzania was created**. This position allows for regular monitoring of ongoing projects, active search for partners and new projects, and lastly, for administrative tracking of the projects. In addition, a paid employee should enable us to develop our consulting activities in Tanzania and to carry out some of the administrative tasks of the Tanzanian branch of KAZI.

After several interviews conducted by the Tanzanian team, Everester Kessy, a 23-year-old woman from Marangu (Tanzania) who studied social work at the University of Dar-Es-Salaam (graduating in 2020), was selected. She officially started in January 2022. In addition, an office was opened in Ifakara in December 2021, giving the NGO a fixed point in Tanzania to develop its activities.

In the same year, two new projects were supported. The ventures were successfully launched and are respecting the agreed upon repayment schedules.

On the Swiss side, since the first projects had been financed mainly through private funds from the members of the Swiss branch of KAZI and their relatives, the **first active fundraising campaign** was launched at the end of 2021. At the same time, in order to improve the legal basis of the Swiss branch of KAZI and to anticipate a change in the Swiss legislative framework concerning the requirements for associations transferring money abroad, the steps to register KAZI Startfunding SWITZERLAND with the commercial register in Switzerland were initiated, with a final registration planned and hoped for the spring 2022.



IV. OUR TEAM

KAZI STARTFUNDING TANZANIA BOARD MEMBERS

The current board of KAZI Startfunding TANZANIA consists of three **volunteers** from Tanzania. They work at the Ifakara Health Institute research centre and the adjoining hospital. The board is responsible for the overall decision making of the NGO, the selection of projects and the monitoring of the work on site. They have been assisted on an ad hoc basis by other members of KAZI Startfunding TANZANIA.

From January 2022, the steering committee will be supported in its activities by a **paid employee** (Everester Kessy). The statutes of the two structures forming KAZI Startfunding are available on request.



Felician Meza
Treasurer



Michael Kasmiri
President



Everester Kessy
Project Coordinator



Goefrey I. Ashery
Secretary

KAZI STARTFUNDING SWITZERLAND BOARD MEMBERS

KAZI Startfunding SWITZERLAND is composed of a team of eight **volunteers** with different backgrounds. The Swiss team is in charge of fundraising, establishing communication tools to increase the association's visibility and providing support in the evaluation of projects. It also provides support in the development and monitoring of the administrative and legal structure of KAZI in Switzerland and Tanzania.



Paul-Camille Genton
President



Lucas Giannini
Vice President



Maël Correia-Mula
Secretary



Kélan Mc Donell
Communication Manager



Adrien Pernet
Project Evaluation Manager



Isabel Castroviejo
Communication Manager



Nathan Vibert
Treasurer



Axel Girardin
Assistant Treasurer

V. COMPLETED AND ONGOING PROJECTS

For each project, you can find more ample information and documentation, including loan applications, amounts and receipts, as well as the business plan, on [our website](#):

2019 - 2020: INDEPENDANT SEAMSTRESS - SALMA MSOMI



Salma Msomi is a Tanzanian [seamstress](#) from the Ifakara region who used to work by renting sewing machines by the hour. She turned to KAZI for [a loan to finance the purchase of two sewing machines](#). Her aim is to produce clothes locally for the community to avoid importing textiles from other parts of the world and to contribute to the development of local handicrafts, while creating local employment.

IN NUMBERS:

- Loan for 1,500,000 TSH (ca. CHF 700) over a 15-month period that was entirely repaid on time
- ✓ Promote local crafts and avoid importing textiles from other parts of the world
- ✓ More autonomy and independence by becoming the owner of the means of production after repayment of loan
- ✓ Job creation for two additional employees
- ✓ Training and transfer of skills to the two new employees

2019 - 2020: IT SERVICES BUSINESS - FRANK MATANDURA



Frank Matandura is a professional computer programmer who wanted to start a business developing websites and information systems. Low-income countries have the means and also the need to develop their own IT capacity so that they are not dependent on technology and knowledge from third countries.

IN NUMBERS:

- Loan for 1,000,000 TSH (ca. CHF 450) over a 12-month period, the half of which was repaid ahead of schedule thanks to the business' financial success
- ✓ Contribution to the African digital development movement
- ✓ Successful local business with a full order intake
- ✓ Job creation for the construction of a local office and subsequent job creation and skills transfer for future employees

2019 - PRESENT: ARTISAN PALM OIL PRODUCTION - ROZALIA MPANGALA



Rozalia, 41, is a farmer whose work includes the artisanal production of palm oil. The palm fruit is harvested directly from wild palm trees (not from plantations) in forests, gardens, farms and towns. Once harvested, the shells of the palm fruits are left in the sun to dry. Later, these are used as fuel in the refining process instead of the usual charcoal.

IN NUMBERS:

- Initial loan for 500,000 TSH (ca. CHF 220) over a 6-month period that was entirely repaid on time
- Second loan for 1,000,000 TSH (ca. CHF 440.-), the repayment of which is still ongoing

A second loan was granted following the success of the first project. In the meantime, Rozalia has encountered personal financial difficulties, which have also hampered her entrepreneurial activity. Nevertheless, Rozalia continues to pay back the loan regularly, on a schedule adapted to her situation.

- ✓ Exploitation of an existing primary resource and preservation of the environment
- ✓ Job creation and increase in community income for the workers involved in the different stages (harvesting, drying, cleaning, opening of fruits, refining and pressing)
- ✓ Production and consumption of local palm oil

2019 – PRESENT: LOCALLY GROWN MUSHROOMS – IFAKARA WOMENS' GROUP



Several women in Ifakara who grew mushrooms at home have joined forces to create a local mushroom production cooperative. By pooling their knowledge and means of production, they hope to increase production, while reducing their costs, and thus increase their income. They evaluated their project in collaboration with a fellow mushroom grower in the Morogoro region (Tanzania), in order to optimise their chances of success. Local cooperatives are an entrepreneurial mode rooted in the traditional way of doing business in Tanzania, with people working part-time to earn extra income.

IN NUMBERS:

- Loan for 1,500,000 TSH (ca. CHF 680) over and 18-month period. The first half of the loan was repaid on time.
- ✓ Consistent additional income for the community, especially in rural areas, leading to improved economic conditions
- ✓ Respect for a traditional entrepreneurial methods
- ✓ Development of a local market

2019 - 2019: LOCAL GYPSUM PRODUCTION - VICTOR BEDA



For our fifth project, KAZI wanted to support a young entrepreneur from the Morogoro region. Victor Beda seemed to be the living embodiment of a new generation of local entrepreneurs who propose local and innovative solutions for the development of their countries, create added value for the continent and find solutions to reduce greenhouse gas emissions.

With a degree in chemistry and a passion for housing, Victor was looking for a local and sustainable alternative to cement production and the use of wood in construction. The production of cement involves burning certain materials and contributes to greenhouse gas emissions, while the use of wood in construction can contribute to deforestation. His venture was to take gypsum (a mineral) from the Morogoro region, use his knowledge of chemistry to refine it, and then dry it in the sun without creating greenhouse gas emissions. He also wanted to produce gypsum beams and walls to sell to builders. Each stage of production was to take place locally, directly in the Morogoro area, providing many jobs and income to the community. Victor needed additional capital to increase production and reduce production costs.

IN NUMBERS:

- Loan for 1,500,000 TSH (ca. 680 CHF) over a 15-month period
- Unfortunately, the project did not succeed. Victor Beda managed to initiate the production of gypsum for construction, but was unable to sell it in sufficient quantities or generate income. He was unable to repay his loan with his business.
- The loan repayment schedule was adjusted to enable Victor to cope financially.

This initial failure led us to give preference to projects located in [the Ifakara region, which are easier to follow and monitor.](#)

2021 – PRESENT: SOAP PROJECT – WOMEN FROM MIKOROSHINI



The Mikoroshini women's group (local cooperative) was established in 2017 in Mlimba in the Ifakara region and produces soap with local raw materials from. they applied for a loan to meet two goals. First, to increase their production and meet the growing demand from primary and secondary schools and clinics. Second, to introduce cardboard packaging instead of plastic. Soap production meets a health need by reducing skin infections and the use of antibiotics. It thus contributes to improving the overall hygiene and health of the inhabitants. Soap is largely imported into Tanzania, with local production reducing dependence on third countries.

IN NUMBERS:

- Loan for 1,500,000 TSH (CHF 615) over a 12-month period. The project has been so far successful and the first loan repayment was made on time.
- ✓ Increased income for the cooperative and the people working there
- ✓ Reduction of skin infections and improved health
- ✓ Reduction of dependency on third countries by promoting local production
- ✓ Respect for local entrepreneurial structures

2021 – PRESENT: STOVE PROJECT - JACQUELINE MUSHI

Tanzanian cuisine traditionally uses charcoal for cooking, as wood is readily available to all. The existing alternatives, gas and electricity, are too expensive for the majority of the population who unwillingly contribute to deforestation in order to satisfy this primary need.

In this context, Jacqueline, a thirty-year-old graduate in community economic development, founded the association Pace Initiative for Smallholders (PIS) with the aim of making pellets from waste found in Ifakara. The pellets are made of wood scraps from the numerous carpentry shops and rice husks, which are removed and discarded during the rice refining process. The pellet stoves are imported from China and currently allow about 100 households to use this method of cooking. However, Chinese-produced stoves remain unaffordable for the majority of the rural population and orders are currently on hold due to the COVID-19 pandemic. To meet the growing demand from the local population - about 500 households are waiting for pellets to be delivered - Jacqueline requested a loan from KAZI to start the production of the stoves in Ifakara.

IN NUMBERS:

- Loan for 2,000,000 TSH (ca. CHF 790) over a 12-month period
- ✓ Reduce dependence on third countries
- ✓ Promote Tanzanian industrial manufacturing capacity
- ✓ Positive environmental impact: circular economy through local production, use of waste and reduced deforestation
- ✓ Increase affordability of this cooking method and therefore its environmental impact

2019 - 2020: COLLABORATION WITH KV-HELP



KV-HELP is a local NGO that [strengthens the health and livelihoods of the most vulnerable communities in Kilombero, Ulanga and Malinyi: the area known as the Kilombero Valley](#). It enables women's and youth groups to earn income by providing entrepreneurial skills, start-up grants and establishing a savings and loan system in the most remote villages. KV-HELP took over the ACCESS programme in 2013 and provides technical and management support to women's groups.

In 2020, KV-HELP partnered with KAZI Startfunding to increase financial opportunities by enabling members of women's and youth groups to access interest-free loans. Soon afterward, KAZI Startfunding provided loans to projects that met its criteria, and KV-HELP, already deeply integrated in the community, took on the task of collecting project ideas, evaluating them, and accompanying their implementation.

Against this backdrop, five projects were supported in very rural regions:

- A [bike rental](#) project (three bikes purchased)
- Two [small restaurants](#) established in villages (purchase of materials needed to open and operate the establishments)
- A [shop selling local produce](#) (purchase of required materials)
- An [agriculture project](#) (seeds purchased for cultivation)

IN NUMBERS:

- Loan for a total amount of 1,900,000 TSH (ca. CHF 800)
- Four out of five projects repaid their loans on time
- One project failed financially and is currently unable to repay

VI. KEY NUMBERS AND FINANCES (2019-2021)

The impact of the association is assessed as follows 3 years of activity:

- Approximately **30 jobs created**
- More than **12 sustainable projects** with high social and environmental impact funded directly or through our partner KV-HELP
- More than **20 projects received and reviewed**
- **11 volunteer members** and **1 full time employee**
- **About 80% creditworthiness** and repayment of loans granted
- More than **CHF 8'000 of projects financed** in the first phase

Below you can find the accounting of the association in Switzerland (KAZI CH) as well as the Tanzanian NGO (KAZI TZ), and a summary of the financial status of the projects funded during the first two years of existence. We have detailed accountings with associated receipts for each of the two branches of KAZI, which we can provide on request.

It should be noted that in Tanzania we initially had verbal permission from the district NGO officer to start our activities due to the small amounts involved, while starting the registration procedures in parallel. We did not have at that time a bank account. The Tanzanian accounting was therefore subdivided into 3 parts: NGO not registered and without a bank account (registration procedure where in progress, January 2020 to 23.03.21), officially registered but without a bank account (24.03.21 to 31.07.21), and finally KAZI Tanzania officially registered with its own bank account (i.e. from 01.08.21 to 31.12.21).

In contrast, the accounting periods in Switzerland are closed in the middle of the year, due to the foundation of the association in April 2019. In this context, we have included the first 3 financial years, which are from the founding until April 2022. The "New Founders equity" corresponds to the money directly invested in KAZI CH by members of the board of the association in Switzerland.

Finally, it should be noted that the Tanzanian accounting is done in Shilling (TSH), and the Swiss accounting in Swiss Francs (CHF). The average exchange rate during the period was about 2381 TSH = 1 CHF, but of course each Swiss - Tanzanian transfer depended on the exact exchange rate at the time.

KAZI Switzerland - summary accounting 01.04.2019 to 31.04.2022 in CHF				
	01.04.2019-31.03.2020	01.04.2020-30.04.2021	01.05.2021-30.04.2022	
Total External Donations	688,00	3 093,00	4 210,00	Including exceptional money transfer from KAZI TZ of 407,40 CHF
Other profits	0,00	0,00	0,00	
Total Profits	688,00	3 093,00	4 210,00	
Initial Equity (end Balance n-1)	0,00	98,30	3 139,80	
New founders (KAZI CH) Equity over period	4 035,82	218,85	2 206,54	
Total Liabilities	4 035,82	317,15	5 346,34	
Bank account KAZI CH	98,30	3 139,80	4 210,44	
Total assets	98,30	3 139,80	4 210,44	
Money provided to KAZI TZ	3 794,90	0,00	5 084,00	
Transfers for projects in TZ	3 606,00	0,00	1 050,00	
Transfers for activities costs in TZ	188,90	0,00	4 034,00	
Costs of activities of KAZI CH in Switzerland	830,62	270,35	261,90	
Total costs	4 625,52	270,35	5 345,90	
End Balance	98,30	3 139,80	4 210,44	

VI. KEY NUMBERS AND FINANCES (2019-2021)

INTEREST-FREE LOAN TO PROJECT LEADERS ACCOUNT		FROM Jan 2020 TO 31.12.21 in TSH	
Money provided to Project Leaders		Refunding from projects Leaders	
First Period from Jan 2020 to 31.07.21		First Period from Jan 2020 to 31.07.21	
Rozalia(Palm Oil) First loan 15.01.2020	500 000,00	Total Refunding from Rozalia first Loan 15.04.2020	500 000,00
Salma (Tailor) First loan 19.01.2020	1 400 000,00	Total refunding from Jaytech 01.09.2020	1 000 000,00
Frank (Jaytech) loan 30.01.2020	1 000 000,00	Total refunding from mushroom 12.02.2021	750 000,00
Jackline (mushroom) first loan 04.03.2020	1 500 000,00	Total refunding from Victor (Gypsum) 28.02.2021	50 000,00
Victor Bada (Gypsum) loan 06.03.2020	1 500 000,00	Total refunding from Rozalia second Loan 10.03.2021	300 000,00
Direct transfer from CH to KV-Help 10.03.2020	1 900 000,00	Total refunding from salma (Tailor) 11.06.2021	1 400 000,00
Rozalia(Palm Oil) second loan 04.06.2020	1 000 000,00	Initial refunding from KV-Help 16.07.2021	1 000 000,00
Second Period from 01.08.21 to 31.12.21		Second Period from 01.08.21 to 31.12.21	
Soap Project 23.08.2021	1 500 000,00	Refunding from SOAP 27.12.2021	130 000,00
Stove Project 13.12.2021	1 000 000,00		
		Total amount refunded from Project Leaders on 31.12.21	5 130 000,00
Total amount provided to project Leaders on 31.12.21	11 300 000,00		
		Projects failure	
		Victor Bada (Gypsum)	1 450 000,00
		Rozalia (Palm Oil) second loan	700 000,00
		Total project failure lost from Jan 2020 to 31.12.21	2 150 000,00
		Total amount remaining at Project Leaders on 31.12.2021	4 020 000,00
Total	11 300 000,00	Total	11 300 000,00

KAZI TANZANIA (TZ) - Summary Accounting Jan 2020 to 31.12.21 in TSH			
	Jan 2020 to 23.03.21	24.03.21 to 31.07.21	01.08.21 to 31.12.21
Money provided by KAZI CH	8 100 000,00	0,00	7 366 916,82
Value of material provided by KAZI CH	0,00	0,00	1 500 000,00
Other profits	0,00	0,00	0,00
Total Profits	8 100 000,00	0,00	8 866 916,82
Initial Equity (end Balance n-1)	0,00	6 246 000,00	3 935 000,00
New founders (KAZI TZ) Equity over period	0,00	0,00	0,00
Total Liabilities	0,00	6 246 000,00	3 935 000,00
Cash box (TZ)	46 000,00	1 500 000,00	0,00
Bank account (TZ)	0,00	85 000,00	3 733 041,46
Amount remaining at Project Leaders (TZ)	8 800 000,00	2 350 000,00	4 020 000,00
Total assets	8 846 000,00	3 935 000,00	7 753 041,46
KAZI TZ activities Costs	884 000,00	861 000,00	4 348 875,36
Material and office costs	82 000,00	71 000,00	2 822 400,00
Office rent	0,00	0,00	1 200 000,00
Transport costs	7 000,00	660 000,00	116 000,00
Bank costs	100 000,00	15 000,00	133 850,00
Monitoring costs	300 000,00	0,00	0,00
Registration costs	0,00	115 000,00	0,00
VAT Costs	0,00	0,00	32 625,36
Various costs	395 000,00	0,00	44 000,00
Total amount refunded (send) to KAZI CH	970 000,00	0,00	0,00
Total projects failure losts	0,00	1 450 000,00	700 000,00
Total Costs and Losses	1 854 000,00	2 311 000,00	5 048 875,36
Net result of the period	6 246 000,00	-2 311 000,00	3 818 041,46
End Balance	6 246 000,00	3 935 000,00	7 753 041,46

VII. 2022 BUDGET

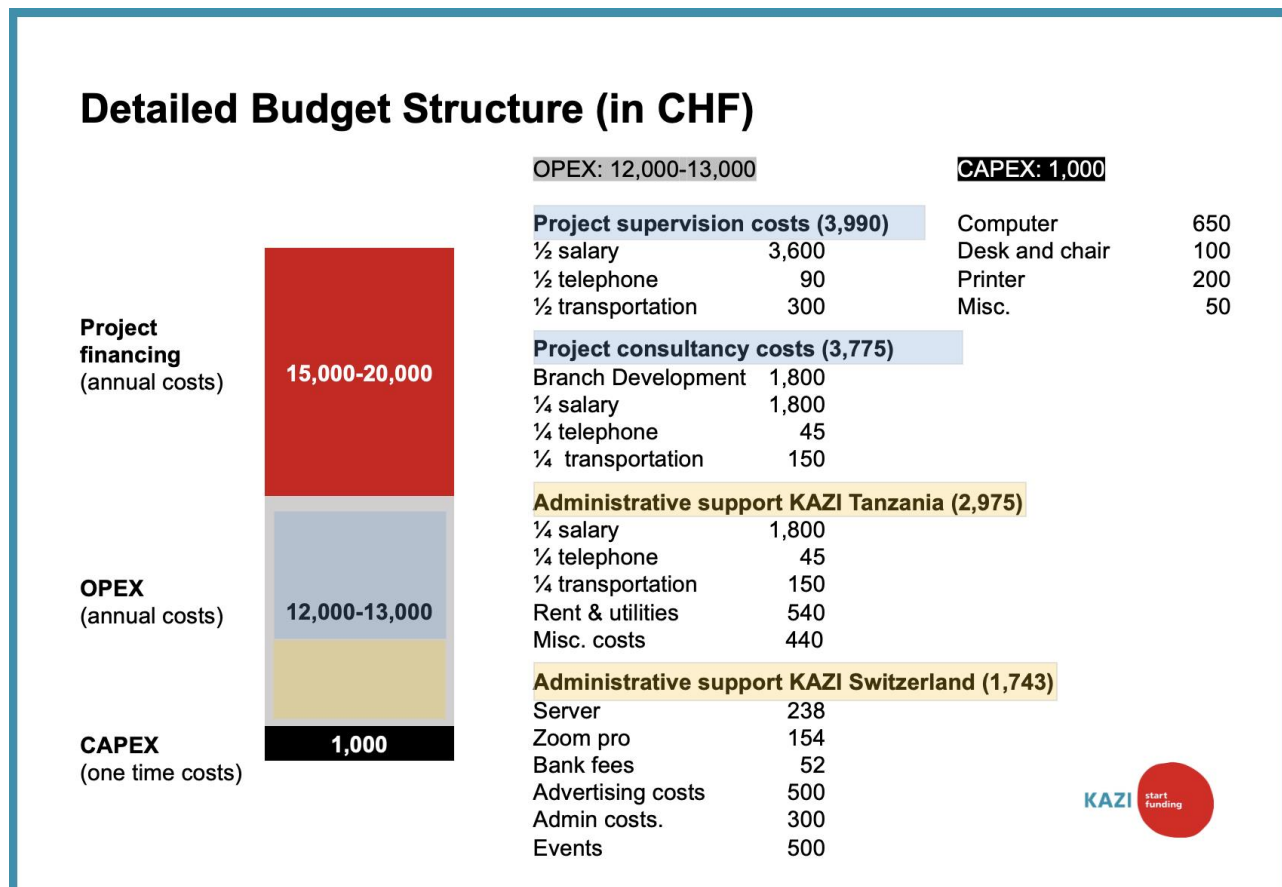
Our budget is structured in **three main sectors** (see image below) :

- **OPEX costs** (annual costs), including association operational costs, monitoring and project support costs
- **CAPEX costs** (one-off costs)
- **Project financing costs**

For the 2022 budget, we will have an increase in the operational costs of the organisation due to the hiring of the first paid employee (see point III). The salary of this employee is included in OPEX and is the main expense.

Under the heading "project financing," we present the totality of interest-free loans that we wish to make available to local entrepreneurs. Project financing does not include any operational costs, as these are included in the OPEX, so the entire sum indicated is transferred into the hands of the local beneficiaries in its entirety.

We would like to point out that almost all of the association's funds are used on the ground in Tanzania for the development and financing of projects. The operating costs of the Swiss branch of KAZI is only between 5 and 10% of the total budget. It should be noted that many NGOs include the operational costs of projects in the "project funding" section, and not in a separate way as presented below in the OPEX.



VIII. PROJECTS AND FUTURE GOALS

Our organisation is currently **looking for funds** in either of the following two forms:

- **Donations.** These will enable both branches of KAZI to cover their operating costs, bank fees and allow for the creation of a reserve fund in case of losses (e.g. failed projects). If the amount of donations reaches a high enough threshold, we will also be able to allocate the donations directly to the financing of certain projects in the name of the association, as has been done so far.
- **Loans.** KAZI will begin a campaign to solicit funding from individuals, companies or foundations willing to "invest" in a particular project. We are keeping the term "investment" since if the project works and the repayment is made on time, the "investors" will be able to recover the initial amount after subtracting bank fees and possible exchange rate fluctuations. They will be able to either reinvest the final amount in a new KAZI project or withdraw it from the association.

With regard to the **choice of future projects**, we would like to support, if our finances allow, larger projects targeting the following areas:

- Developing **food preserves**:
 - Preserving fruits and vegetables (sauces, dehydrating, oil, salt, and sugar preserves)
 - Preserving and processing grains
- Developing **renewable energy and electricity** sources or limiting deforestation (solar panels, providing electricity to villages, alternatives to wood-burning stoves)
- **Access to clean drinking water** (building community wells, local filtering and purification projects (ceramic, mineral and biological filters))
- Sewage removal (plumbing and sewers)
- **Health promotion** (improving sanitary conditions, access to medical care and preventative health structures)
- Construction and **sustainable housing**
- **Access to and promotion of education** (education institutions, providing materials, adult and child education opportunities).

These areas would be prioritised and funded first, without withholding support for other projects that also meet KAZI's values.